water by supplying manufactured goods to other PSUs or the government. BHEL exists to supply power plants—even government undertakings no longer wish to buy from it. ITI manufactures telephone handsets and some telephonic switching gear using old technologies. There are undertakings manufacturing steel, aluminium and other metals. SAIL is an almost monopoly supplier of rails to Indian Railways. There is absolutely no reason for any of these PSUs manufacturing common industrial goods using and losing scarce public funds. The state governments started a plethora of manufacturing undertakings—almost all of them are losing money and producing shoddy products. The governments must adopt a no-nonsense policy of selling off each of these PSUs, at whatever price a competitive bid yields.

Utilities Sector is Crying for Reforms

Gas, water and electricity are the principal utilities. India's GDP number-crunchers count their value addition together under one broad head. Utilities contribute about 2.5 per cent of India's GDP. These were almost entirely in the government/public sector until 1991. Now, gas and electricity distribution has been opened up albeit in a very limited manner. We have seen the entry of the private sector in the establishment of gas grids and supply of city gas though the public sector still has the lion's share. The private sector is also slowly and steadily gaining a foothold in interstate electricity transmission. Electricity distribution and supply, however, still remains predominantly in the hands of the public sector. Only in a few cities have electricity distribution and supply networks been given to the private sector on a concession basis. Water remains an exclusive state business primarily because of social considerations.

There is enormous unmet demand for most of these utilities. India's electricity consumption is still one of the lowest in the world. Piped gas has reached only a handful of cities. Decent water supply on a 24/7 basis is still